



► More tariff hikes imminent due to the prevalent low ARPU and increasing capex requirement by the telecom companies for 5G

► The global chip shortage over the past 12 months has led to lower revenue realisation and higher margin pressure

SOURCE INDUSTRY, BT RESEARCH

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AS 5G NETWORKS roll out across Indian cities, stakeholders in the country's vibrant telecom sector, the second largest in the world with a base of 1.17 billion wireless and wireline subscribers as of July 2022, prepare to tap into new areas for growth in a disruptive world. The wireline segment received a major boost from the Covid-19-induced lockdowns with an uptick in subscribers opting for wired broadband internet, shaped doubtless by the remote-work and remote-education paradigm. With cinema houses suspending shows, people turned to over-the-top (OTT) platforms for their daily dose of entertainment. However, the telecom sector struggled due to internecine competition, adverse judicial and government stands on spectrum pricing and adjusted gross revenue (AGR) disputes, and digital players building new businesses on 4G superhighways that eluded telcos.

The BT500 study period (October 2021 to September 2022) remained eventful for the sector since the Supreme Court's order on AGR dues in September 2020. The apex court granted a 10-year window to telcos for payment of AGR dues amounting to ₹1.4 lakh crore. In September 2021, the government announced reforms to address the liquidity issue of the telcos, encourage investment and promote healthy competition. This included the opportunity to defer by four years the payment of AGR and related dues, and the option of paying interest on deferred obligations by converting into equity. Other interventions to improve telcos' processes and efficiencies were also announced.

"The government went ahead on its reforms commitment by addressing two